

The home you would have bought might have been with a 20% down payment. For further argument sake, let's say it's 20% and you put down 10L on a 50L home. But as an alternative, let's say we took 6L (remaining 4L for a memorable trip to China) and invested into Nifty 50 which returns 5% **above inflation** in the long-term. In 20 years' time this will amount to 15.9L after **accounting for inflation**.

Opportunity Cost: 15.9 Lakhs and a month in China

Key takeaway:

#1 Your principal and interest payments are not the be-all, end-all of payments

#2 We have short sightedness when it comes to money: we concern ourselves with cash-flow and not the entire Profit/Loss statements

For ex: when we have a big renovation project (kitchen makeover), the 1L that we dispense with hurts badly. Likewise, when the regular bills such as utility-1000, property taxes-400 occur monthly, we fool ourselves that the total expense is only 1400/ month. Whereas the total expense in this case is $1L/12 + 1400 = 10K$ per month. Also, if we don't pay attention, we completely discount invisible expenses such as opportunity costs. With half-hearted calculations like these, we convince ourselves that *'costs of buying are definitely lower than renting in the long-run'* when all evidence points to the contrary.

Perhaps, not zooming out and panning through the whole picture has made us poorer.

"Giving someone no map is much, much better than giving him a wrong map"

- Nassim Nicholas Taleb

Inference: Buying is almost, always never better

Assumption #3: Most people became rich because they invested in real estate